8.1.3 Classification of Reserves



1. GENERAL RESERVE

A reserve which is created out of the profits or surplus of a business for meeting any unknown liability is called as 'General Reserve' or 'Free Reserve' or 'Revenue Reserve.' It is an appropriation of profit. According to Companies Act, creation of general reserve is not compulsory, it is to be created only when the company has sufficient profit. However, if the Articles of Association of the company state that a specific amount is to be set aside out of profit before distribution of dividend, then the amount should be transferred to General Reserve account.

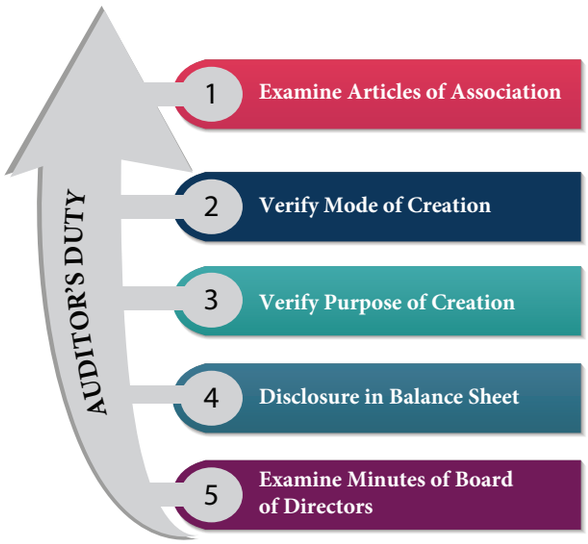
Objects of creating General Reserve

It is created with an object to

- Provide additional working capital,
- Strengthen the liquid resources of the business,
- Meet any unknown contingency or liability,
- Equalize dividend in the years in which profits are inadequate and
- Expand business etc.



AUDITOR'S DUTY



1. **Examine Articles of Association:** The auditor should examine the Articles of Association to see whether provision regarding creation of general reserve has been complied with.
2. **Verify Mode of Creation:** It is the duty of the auditor to ensure that reserve is created only out of profits of the company.
3. **Verify Purpose of Creation:** Auditor should ensure that general reserve is created for the best interest of the company.
4. **Disclosure in Balance Sheet:** He should examine that reserve amount is properly shown in the Balance Sheet. When reserve amount is invested in securities, he should verify that investments are shown on the assets side of the Balance Sheet.

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